

Tax Audit Applicability – Working Paper

Section 44AB | 44AD | 44ADA · Professional decision record

ASSESSEE

Nandini Fabricators (sample)

FINANCIAL YEAR

FY 2025-26

NATURE OF ACTIVITY

Business

PREPARED BY

—

CONSTITUTION

Individual

ASSESSMENT YEAR

AY 2026-27

DATE OF PREPARATION

18 September 2026

REVIEWED BY

—

Legal basis. FY 2025-26 / AY 2026-27 under the Income-tax Act, 1961. Thresholds cross-checked on 18 September 2026 against the Finance Act 2023 (ss. 15-17), the Finance (No. 2) Act 2024 and the Finance Act 2025 (no amendment to ss. 44AB, 44AD or 44ADA), and the Income Tax Department e-filing portal. CA sign-off: pending.

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ASSESSEE	CONSTITUTION	NATURE	FY / AY
Nandini Fabricators (sample)	Individual	Business	FY 2025-26 / AY 2026-27

Legal basis. FY 2025-26 / AY 2026-27 under the Income-tax Act, 1961. Thresholds cross-checked on 18 September 2026 against the Finance Act 2023 (ss. 15-17), the Finance (No. 2) Act 2024 and the Finance Act 2025 (no amendment to ss. 44AB, 44AD or 44ADA), and the Income Tax Department e-filing portal. CA sign-off: pending.

1 EXECUTIVE CONCLUSION

TAX AUDIT APPLICABILITY

APPLICABLE

On the information entered, tax audit under section 44AB of the Income-tax Act, 1961 is applicable to the individual for FY 2025-26 (AY 2026-27).

AUDIT STATUS	TURNOVER	CASH RECEIPTS %	CASH PAYMENTS %
APPLICABLE	₹90,00,000	1.11%	1.05%
PROFIT %	APPLICABLE LIMIT	APPLICABLE FORM	PRESUMPTIVE INCOME
2.22%	₹1 crore / ₹10 crore	Form 3CB + Form 3CD	Not applicable

2 ASSESSEE PROFILE

ASSESSEE	PAN	CONSTITUTION
Nandini Fabricators (sample)	Not recorded	Individual
NATURE OF ACTIVITY	FINANCIAL YEAR	ASSESSMENT YEAR
Business	FY 2025-26	AY 2026-27

3 FINANCIAL DATA AS ENTERED

TURNOVER	TURNOVER NOT VIA BANKING BY DUE DATE	TOTAL AMOUNTS RECEIVED
₹90,00,000	—	₹90,00,000
CASH RECEIPTS	NON-CASH RECEIPTS	TOTAL PAYMENTS
₹1,00,000	₹89,00,000	₹86,00,000
CASH PAYMENTS	NON-CASH PAYMENTS	DECLARED PROFIT
₹90,000	₹85,10,000	₹2,00,000
PROFIT PERCENTAGE	TOTAL INCOME	BASIC EXEMPTION APPLIED
2.22%	₹9,00,000	₹4,00,000
EXEMPTION BASIS		
New regime (s. 115BAC, default)		

PRESUMPTIVE TAXATION PARTICULARS

PRESUMPTIVE SCHEME	RESIDENTIAL STATUS	ELIGIBLE
Section 44AD	Resident	Yes
APPLICABLE CEILING	DEEMED INCOME	DECLARING UNDER THE SCHEME
₹2 crore / ₹3 crore	₹5,40,000 to ₹7,20,000	Not available
WITHIN S. 44AD(4) BAR	USED S. 44AD IN PRECEDING FIVE AYS	
No	Yes	

4 STATUTORY TESTS APPLIED

TEST	INPUT	THRESHOLD	STATUS	PROVISION	FINDING
Cash receipt condition	1.11%	Not exceeding 5% of all amounts received	CONDITION MET	Proviso (a) to s. 44AB(a)	Cash of ₹1,00,000 does not exceed 5% of all amounts received (₹90,00,000).
Cash payment condition	1.05%	Not exceeding 5% of all payments made	CONDITION MET	Proviso (b) to s. 44AB(a)	Cash of ₹90,000 does not exceed 5% of all payments made (₹86,00,000).
Turnover limb	₹90,00,000	₹1 crore / ₹10 crore	NO AUDIT	s. 44AB(a)	Turnover of ₹90,00,000 does not exceed ₹1 crore, so neither limit is crossed.
s. 44AE / 44BB / 44BBB income	Not applicable	Deemed amount	DOES NOT ARISE	s. 44AB(c)	No s. 44AE, 44BB or 44BBB income is declared lower than the deemed amount.
s. 44AD eligibility	Eligible	Eligible assessee and business	CONDITION MET	s. 44AD, Explanation	The assessee and the business meet the s. 44AD eligibility conditions.
s. 44AD turnover ceiling	₹90,00,000	₹2 crore / ₹3 crore	CONDITION MET	s. 44AD, Explanation (b)	Turnover of ₹90,00,000 is within the s. 44AD ceiling.
s. 44AD(4) five-year bar	Not barred	Total income over ₹4,00,000	DOES NOT ARISE	s. 44AB(e) with s. 44AD(4), (5)	AY 2026-27 is not within a s. 44AD(4) bar.
Low-profit limb (opting out)	₹2,00,000	Deemed ₹5,40,000 to ₹7,20,000	TRIGGERS AUDIT	s. 44AB(e) with s. 44AD(4)	Income was declared under s. 44AD in an earlier year. Declaring ₹2,00,000 now, below even the lowest possible deemed income, ₹5,40,000 (6% of turnover), attracts s. 44AD(4). Total income exceeds the basic exemption.
Declared under s. 44AD(1)	Not available	Declared under s. 44AD(1)	DOES NOT ARISE	First proviso to s. 44AB	Declared profit does not meet the s. 44AD deemed income, so income cannot be declared under s. 44AD(1).

5 DETAILED REASONING

1. Assessee and activity — **Business** s. 44AB(a)

The assessee is an individual, resident, carrying on business. The Income-tax Act, 1961 governs FY 2025-26 (AY 2026-27).

2. Cash receipt condition — **1.11%** Proviso (a) to s. 44AB(a)

Cash of ₹1,00,000 does not exceed 5% of all amounts received (₹90,00,000).

3. Cash payment condition — **1.05%** Proviso (b) to s. 44AB(a)

Cash of ₹90,000 does not exceed 5% of all payments made (₹86,00,000).

4. Turnover limb — **₹90,00,000** s. 44AB(a)

Turnover of ₹90,00,000 does not exceed ₹1 crore, so neither limit is crossed. The cash test cannot change the result at this turnover.

5. s. 44AE / 44BB / 44BBB income — **Not applicable** s. 44AB(c)

No s. 44AE, 44BB or 44BBB income is declared lower than the deemed amount.

6. s. 44AD eligibility — **Eligible** s. 44AD, Explanation

The assessee and the business meet the s. 44AD eligibility conditions.

7. s. 44AD turnover ceiling — **₹90,00,000** s. 44AD, Explanation (b)

Turnover of ₹90,00,000 is within the s. 44AD ceiling.

8. s. 44AD(4) five-year bar — **Not barred** s. 44AB(e) with s. 44AD(4), (5)

AY 2026-27 is not within a s. 44AD(4) bar.

9. Low-profit limb (opting out) — **₹2,00,000** s. 44AB(e) with s. 44AD(4)

Income was declared under s. 44AD in an earlier year. Declaring ₹2,00,000 now, below even the lowest possible deemed income, ₹5,40,000 (6% of turnover), attracts s. 44AD(4). Total income exceeds the basic exemption. Audit is required under s. 44AB(e). The assessee is also barred from s. 44AD for the next five assessment years.

10. Declared under s. 44AD(1) — **Not available** First proviso to s. 44AB

Declared profit does not meet the s. 44AD deemed income, so income cannot be declared under s. 44AD(1).

11. Report form — **Form 3CB + Form 3CD**

The accounts are not audited under any other law, so the report is furnished in Form 3CB + Form 3CD.

6 SECTION-WISE LEGAL REFERENCES

Section 44AB(a) — Audit on turnover — business

APPLICABILITY

A person carrying on business whose turnover in the previous year exceeds the limit.

RELEVANT STATUTORY TEXT

Clause (a): "carrying on business shall, if his total sales, turnover or gross receipts, as the case may be, in business exceed or exceeds one crore rupees in any previous year" [...] "Provided that in the case of a person whose— (a) aggregate of all amounts received including amount received for sales, turnover or gross receipts during the previous year, in cash, does not exceed five per cent of the said amount; and (b) aggregate of all payments made including amount incurred for expenditure, in cash, during the previous year does not exceed five per cent of the said payment" [...] "the words 'ten crore rupees' had been substituted" [...] "Provided further that for the purposes of this clause, the payment or receipt, as the case may be, by a cheque drawn on a bank or by a bank draft, which is not account payee, shall be deemed to be the payment or receipt, as the case may be, in cash"

Source: Income-tax Act, 1961, s. 44AB(a) and its provisos [Consolidated]. "[...]" marks words not reproduced.

PRACTICAL INTERPRETATION — SIMPLIFIED PROFESSIONAL EXPLANATION

The limit is ₹1 crore. It becomes ₹10 crore only where BOTH cash received is within 5% of all amounts received AND cash paid is within 5% of all payments. A cheque or draft that is not account payee counts as cash. A turnover exactly equal to the limit does not exceed it.

APPLICATION TO THE PRESENT CASE

Turnover of ₹90,00,000 does not exceed ₹1 crore, so neither limit is crossed. The cash test cannot change the result at this turnover.

CONCLUSION

No audit on this limb.

First proviso to section 44AB — Presumptive declarants outside s. 44AB

APPLICABILITY

Any person who declares profits under s. 44AD(1) or s. 44ADA(1).

RELEVANT STATUTORY TEXT

"Provided that this section shall not apply to a person, who declares profits and gains for the previous year in accordance with the provisions of sub-section (1) of section 44AD or sub-section (1) of section 44ADA:"

Source: Finance Act, 2023 (Act 8 of 2023), s. 15, substituting the first proviso to s. 44AB w.e.f. 1 April 2024 [Gazette].

PRACTICAL INTERPRETATION — SIMPLIFIED PROFESSIONAL EXPLANATION

Since AY 2024-25, a person declaring income under s. 44AD(1) is outside s. 44AB altogether — even if turnover exceeds ₹1 crore — provided the business is within the s. 44AD ceiling (₹2 crore, or ₹3 crore where cash receipts are within 5% of turnover) and the deemed income is declared.

APPLICATION TO THE PRESENT CASE

Declared profit does not meet the s. 44AD deemed income, so income cannot be declared under s. 44AD(1).

CONCLUSION

Does not apply on these facts.

Section 44AD — Presumptive taxation — eligible business

APPLICABILITY

A resident individual, HUF or partnership firm (not an LLP) carrying on an eligible business — not commission or brokerage, not agency, not a s. 44AE goods-carriage business — and not claiming the deductions listed in the Explanation.

RELEVANT STATUTORY TEXT

"Provided that where the amount or aggregate of the amounts received during the previous year, in cash, does not exceed five per cent. of the total turnover or gross receipts of such previous year, this sub-clause shall have effect as if for the words "two crore rupees", the words "three crore rupees" had been substituted: Provided further that for the purposes of the first proviso, the receipt of amount or aggregate of amounts by a cheque drawn on a bank or by a bank draft, which is not account payee, shall be deemed to be the receipt in cash."

Source: Finance Act, 2023, s. 16, inserting provisos in s. 44AD, Explanation, clause (b), w.e.f. 1 April 2024 [Gazette].

PRACTICAL INTERPRETATION — SIMPLIFIED PROFESSIONAL EXPLANATION

Deemed income is 6% of turnover received by account-payee cheque, draft or electronic mode during the year or by the return due date, and 8% of the rest. The ceiling is ₹2 crore, raised to ₹3 crore where cash received does not exceed 5% of turnover. Note the denominator here is TURNOVER, whereas the s. 44AB(a) test uses all amounts received.

APPLICATION TO THE PRESENT CASE

Turnover of ₹90,00,000 is within the s. 44AD ceiling.

CONCLUSION

Condition met.

Section 44AB(e) with section 44AD(4) — Audit on leaving s. 44AD

APPLICABILITY

A person to whom s. 44AD(4) applies, where total income exceeds the basic exemption limit.

RELEVANT STATUTORY TEXT

Clause (e): "carrying on the business shall, if the provisions of sub-section (4) of section 44AD are applicable in his case and his income exceeds the maximum amount which is not chargeable to income-tax" [...]

Source: Income-tax Act, 1961, s. 44AB(e) [Consolidated]. "[...]" marks words not reproduced.

PRACTICAL INTERPRETATION — SIMPLIFIED PROFESSIONAL EXPLANATION

Section 44AD(4) applies where the scheme was used in a year and, in any of the next five years, profit is declared below the deemed rate. The assessee is then barred for five assessment years. Audit is required in the year of opting out and — on the literal and conservative reading — in each barred year, wherever total income exceeds the basic exemption, whatever the turnover. The verbatim text of s. 44AD(4) and (5) is not reproduced here; read it from the bare Act.

APPLICATION TO THE PRESENT CASE

Income was declared under s. 44AD in an earlier year. Declaring ₹2,00,000 now, below even the lowest possible deemed income, ₹5,40,000 (6% of turnover), attracts s. 44AD(4). Total income exceeds the basic exemption. Audit is required under s. 44AB(e). The assessee is also barred from s. 44AD for the next five assessment years.

CONCLUSION

Audit required on this limb.

Section 44AA – Maintenance of books of account

APPLICABILITY

Requires specified persons to keep and maintain books of account.

RELEVANT STATUTORY TEXT

Not reproduced. The verbatim text of Section 44AA was not retrieved for this tool. Read it from the bare Act.

PRACTICAL INTERPRETATION — SIMPLIFIED PROFESSIONAL EXPLANATION

A separate obligation from audit, with different thresholds. Books may be required where audit is not.

APPLICATION TO THE PRESENT CASE

Not evaluated by this tool. Determine the s. 44AA position separately.

CONCLUSION

Not evaluated — determine separately.

7 APPLICABILITY ANALYSIS

Audit is required on the following ground:

1. **s. 44AB(e) with s. 44AD(4)** — Income was declared under s. 44AD in an earlier year. Declaring ₹2,00,000 now, below even the lowest possible deemed income, ₹5,40,000 (6% of turnover), attracts s. 44AD(4). Total income exceeds the basic exemption.

CONSEQUENCES

- The accounts are required to be audited by a Chartered Accountant in practice.
- The report is to be furnished in Form 3CB + Form 3CD by 30 September 2026.
- The return of income is due by 31 October 2026.
- Under s. 44AD(4) the assessee is barred from s. 44AD for the next five assessment years; in each of them audit applies where total income exceeds the basic exemption.

COMPLIANCE PARTICULARS

APPLICABLE FORM

Form 3CB + Form 3CD

FORM DETERMINATION

The accounts are not audited under any other law, so the report is furnished in Form 3CB + Form 3CD.

TAX AUDIT REPORT DUE

30 September 2026

RETURN OF INCOME DUE

31 October 2026

8 PROFESSIONAL NOTES

Section 44AA

The obligation to maintain books of account under s. 44AA is separate from audit and is not evaluated here.

9 CONCLUSION

Tax audit is applicable

This conclusion is drawn on the figures and answers entered. It is subject to the accuracy of those figures and to any fact not captured here.

PREPARED BY

Date

REVIEWED BY

Date

PARTNER

Date & UDIN

10 DISCLAIMER

This application is a professional decision-support and documentation tool. It is not a substitute for independent examination of the Income-tax Act, Rules, Finance Act amendments, CBDT notifications and circulars, judicial precedents, ICAI Guidance Notes and the facts of the particular assessee. Final professional conclusion should be made after verification of complete facts and applicable law. The conclusion recorded above is drawn only on the limbs modelled by the application and only on the figures entered.

FY 2025-26 / AY 2026-27 under the Income-tax Act, 1961. Thresholds cross-checked on 18 September 2026 against the Finance Act 2023 (ss. 15-17), the

Finance (No. 2) Act 2024 and the Finance Act 2025 (no amendment to ss. 44AB, 44AD or 44ADA), and the Income Tax Department e-filing portal. CA sign-off: pending.

Prepared using the Tax Audit Applicability Decision System, developed by T R S & Associates as an ICAI AICA Level 2 Capstone Project.